2024 Federal Tax Return

Robert Smith Jr. and Lisa Marie Smith
Senior accountant review memorandum | Prepared November 11, 2026

STATUS: REVIEW DRAFT - DO NOT TRANSMIT. The companion PDF contains 20 pages of condensed, line-numbered facsimiles of the 2024 federal return forms. These are review documents, not IRS-issued form backgrounds, approved substitute paper forms or a transmit-ready MeF XML file. Resolve the items below and enter/reconcile the approved figures in professional e-file software before filing.

Return summary	2024 amount
Filing status / qualifying children	Married filing jointly / 3
Total income / adjusted gross income	$361,246 / $360,946
Itemized deductions / QBI deduction	$31,692 / $43
Taxable income	$329,211
Income tax before credits	$62,280
Nonrefundable credits	$6,539
Additional Medicare Tax / NIIT	$931 / $1,301
Total federal tax	$57,973
Total payments and payment credits	$43,192
BALANCE DUE - before any penalty/interest	$14,781

Mandatory release conditions

1. Lisa W-2 box 12a: $26,406.43 is reported but its code is blank or unreadable. Box 1 is used as supplied, with no additional wage inclusion in this draft. Obtain an employer clarification or W-2c and plan contribution details; an excess elective deferral could require an addition to Form 1040, line 1h. See page 5.

2. Paid-preparer due diligence: Draft Form 8867 is included because the return claims the child tax credit. Required interview, substantiation, prior-credit-disallowance questions, preparer name/PTIN and certification remain open. No missing professional acts have been certified. [9]

3. Broker / deductions / payments: Confirm Lisa wash-sale data, sales-tax jurisdiction, charity acknowledgments, mortgage eligibility, care purpose, and payment posting. Obtain the 2023 return to check carryovers and underpayment safe harbor.

Scope and preparation basis

Federal original 2024 joint return only; not an amended return. The intake indicates current prior filings but does not establish whether a 2024 return was already filed. Confirm original-versus-amended status. No state return is prepared. The payment balance is not a payoff quote as of the preparation date; actual filing/payment dates, notices and any disaster relief must be reviewed for additional charges. No direct deposit or electronic debit is authorized.

1 | Source reconciliation

All 15 uploaded PDFs were reviewed, including image-only mortgage/interest documents and the blank second page of the LTC letter. Source labels below correspond to the uploaded document names with their random prefixes omitted. Amounts here preserve cents; the return uses whole dollars. [1]

Source / item	Source amount	Federal treatment
Bob W-2 - COMPANIX, EIN 12-1234567	Wages $132,465.05 FIT $9,642.23	Form 1040, lines 1a / 25a
Bob W-2 - ZIXBO SERVICES GROUP INC, EIN 12-1234568	Wages $102,468.69 FIT $7,465.85	Form 1040, lines 1a / 25a
Lisa W-2 - COMPRESS MIDDLE SCHOOL, EIN 33-3213213	Wages $92,068.87 FIT $8,286.20	Form 1040, lines 1a / 25a
BOB_1099-INT - TX LENDING COMPANY	$107.88	Schedule B interest
BOB_1099-INT_Rose - YELLOW ROSE BANK	$39.99	Schedule B interest
LISA_1099-INT_Rose - YELLOW ROSE BANK	$968.22	Schedule B interest
LISA_1099-DIV - YELLOW ROSE BANK	Ordinary $6,744.05 Qualified $4,897.86	Form 1040, lines 3b / 3a; qualified amount is a subset
Same Form 1099-DIV	Sec. 199A $214.79 Foreign tax $211.05	Form 8995; Schedule 3, line 1; 199A amount is not added again
BOB_1099-B - 11 EXSTCK shares	Proceeds $56.78 Basis $6,750.88	Short-term loss $(6,694.10); Form 8949, box A
LISA_1099-B - 18 BLU-FOR CORP shares	Proceeds $43,877.03 Basis $11,268.00 Wash sale $468.41	Long-term gain $33,077.44; Form 8949, box D, code W

Income bridge

Wages $327,002.61 + interest $1,116.09 + ordinary dividends $6,744.05 + net capital gain $26,383.34 = total income $361,246.09. Rounded return income is $361,246; educator adjustment $300 yields AGI $360,946.

Names and address

Use intake legal names and full SSNs, not masked information statements. Robert born December 19, 1974 (age 50); Lisa born November 21, 1976 (age 48). Return address is 123 Smith Street, San Antonio, TX 78253. LTC letter shows ZIP 78523; treated as a clerical error. Dependent names/SSNs are transcribed from intake, including the suffix III.

2 | Deductions and dependent-related credits

Source / calculation	Return result
Mortgage Form 1098: interest $17,678.69; balance $565,774; originated May 6, 2020; same-address home secures debt.	Schedule A, line 8a: $17,679. Assume acquisition indebtedness; verify use of proceeds.
Real estate tax, Form 1098 box 10: $6,748.32.	Schedule A, line 5b: $6,748. Assume actually disbursed, not merely escrowed.
2024 IRS Texas sales table: family size 5, income $300,000+; state amount $2,246. Local ratio assumed 2.00 / 6.25 = .320. Local addition $718.72; total $2,964.72. [2,3]	Schedule A, line 5a: $2,965. Assumes full-year 8.25% combined jurisdiction. No special-item sales taxes.
SALT: $2,965 + $6,748 = $9,713; below 2024 $10,000 cap. [2]	Deductible SALT: $9,713.
Intake: Red Cross September gift $2,500 cash; church $150 x 12 = $1,800.	Cash gifts: $4,300. Obtain records and Red Cross contemporaneous written acknowledgment.
LTC premiums: $5,500 each. Ages 50/48 permit only $880 each if policies are tax-qualified. $1,760 versus 7.5% AGI $27,070.95. [2]	Medical deduction $0. Policy tax qualification not established by letter; no tax effect either way.
Itemized total $9,713 + $17,679 + $4,300 = $31,692. 2024 MFJ standard deduction $29,200. [1,2]	Itemize; $2,492 larger.
Lisa classroom costs approximately $730, per intake. Assume eligible K-12 educator, 900+ school-year hours, unreimbursed qualified costs at least $300. [4]	Schedule 1, line 11: $300. Request receipts/hours confirmation.
Student loan Form 1098-E: $4,312. Joint MAGI exceeds $195,000 phaseout ceiling. [1]	No student loan interest deduction.

Children and care credit

Robert III and Melissa were born April 7, 2018 (age 6); Judith June 9, 2010 (age 14). Intake states each lived with parents all year and parents supplied over half of support. Draft assumes U.S. citizen/national/resident children with employment-valid SSNs issued by the applicable due date; verify these facts. All three qualify for the $2,000 CTC, totaling $6,000. MFJ MAGI is below $400,000. [5]

Children First Child Care Center of Texas, EIN 45-4564564, received $2,240: each twin $75 x 4 + $65 x 8 = $820; Judith $55 x 6 + $45 x 6 = $600. Only twins qualify for care credit; no disability is reported for Judith. Eligible $1,640 x 20% = $328. Assume care enabled both spouses to work, no reimbursement and no prior-year expenses. [6]

3 | Tax and payment computation

Qualified Dividends and Capital Gain Tax Worksheet [1]

Worksheet line(s)	Calculation / result
1 / 2 / 3	Taxable income $329,211 / qualified dividends $4,898 / smaller of Schedule D lines 15 and 16: $26,383
4 / 5	Preferential income $31,281 / ordinary taxable income $297,930
6 / 7 / 8 / 9	0% threshold $94,050 / $94,050 / $94,050 / $0 at 0%
10 / 11 / 12	$31,281 / $0 / $31,281
13 / 14 / 15 / 16	15% ceiling $583,750 / $329,211 / $297,930 / $31,281
17 / 18 / 19	$31,281 at 15% / $4,692.15 / $31,281
20 / 21	$0 at 20% / $0
22	Ordinary tax: $297,930 x 24% - $13,915 = $57,588.20
23 / 24 / 25	Preferential total $62,280.35; tax on all income at ordinary rates $65,095.64; smaller = $62,280.35 -> Form 1040 line 16 $62,280

Other computations

Item	Computation
QBI / REIT [7]	Box 5 $214.79 -> $215 x 20% = $43; taxable-income limit ($329,254 - $31,281) x 20% = $59,595. No carryover assumed.
Foreign tax credit [1]	$211.05 -> $211; use small-credit election, no Form 1116. Assume passive income/qualified taxes only on information statements, holding-period test met, no treaty-refund or prohibited-country issue.
Credit limits	Care: $62,280 - $211 = $62,069; allowed $328. CTC Worksheet A: $62,280 - $539 = $61,741; allowed $6,000.
Additional Medicare [8]	Box 5 total $353,409.04 - $250,000 = $103,409.04; x .009 = $930.68 -> $931. Withholding $5,124.43 equals regular Medicare; no Additional Medicare withholding.
NIIT [10]	$1,116 + $6,744 + $26,383 = NII $34,243; lesser of NII and MAGI excess $110,946 x 3.8% = $1,301.23 -> $1,301. No allocable income taxes/investment expenses reported.
AMT screening [11]	AMTI $329,211 + SALT $9,713 = $338,924; exemption $133,300; base $205,624. Ordinary portion $174,343 x 26% + gain tax $4,692.15 = $50,021.33 before AMT FTC; below regular tax $62,280.35 less FTC $211. No Form 6251 required.

4 | Payments, exceptions and review inquiries

Payments and overwithholding

Payment source	Amount / treatment
W-2 federal withholding	$9,642.23 + $7,465.85 + $8,286.20 = $25,394.28 -> $25,394
Client estimated tax schedule	April 2, 2024 $3,380; July 4, 2024 $3,275; October 2, 2024 $3,455; January 5, 2025 $3,575. Total $13,685 -> Form 1040, line 26. Verify IRS account posting.
Robert excess Social Security [1]	$8,212.83 + $6,353.06 - $10,453.20 = $4,112.69 -> $4,113. Neither employer individually exceeded the annual cap. Lisa $7,345.47 computed separately; no excess.
Final bridge	$62,280 - $6,000 - $539 + $931 + $1,301 = tax $57,973. $25,394 + $13,685 + $4,113 = payments $43,192. $57,973 - $43,192 = balance due $14,781.

Exception 1 - W-2 coding / retirement

Box 12a on Lisa W-2 has $26,406.43 but no readable code; box 13 retirement plan is checked. The gap between Medicare wages $118,475.30 and box 1 wages $92,068.87 equals $26,406.43. This is not enough evidence to choose a code. Obtain plan/payroll details and a corrected statement if needed. Code DD $57,342.01 is reported separately and is informational employer health coverage, not an additional deduction.

If box 12a is pre-tax elective deferral, the ordinary 2024 limit is $23,000; eligible 403(b) 15-year-rule participants may qualify up to $26,000. Lisa was 48, so no age-50 catch-up is assumed. Possible excesses are $3,406.43 or $406.43, subject to plan details and correction history; the taxable portion may belong on line 1h. No code or wage addback has been invented. [1]

Exception 2 - Lisa broker statement

The Form 1099-B shows a net gain before the $468.41 disallowed wash loss. Draft follows the statement: $43,877.03 - $11,268.00 + $468.41 = $33,077.44, code W. Ask broker for tax-lot detail or a correction. Aggregate lot information can include losses despite an overall gain, but the single-line form does not explain this. Do not remove the adjustment without support. [12]

Penalty handling and missing prior-year facts

Form 1040 line 38 is blank; Form 2210 is omitted so IRS can compute any penalty. No annualization/waiver election or mandatory special computation is assumed. Obtain 2023 AGI/tax to evaluate the 100% or 110% prior-year safe harbor versus 90% of 2024 tax and check actual payment dates. Some listed estimates follow the usual quarterly dates; disaster postponements may change timing. Do not assume zero penalty. Additional late-filing/payment charges or interest depend on actual dates and relief and are not included. [13]

Assume no 2023 credit applied, capital loss carryover, REIT/PTP loss carryforward, charitable carryforward, AMT credit or foreign-tax carryover. These are material assumptions, not confirmed zeros. Confirm no 2024 return already filed and no omitted IRS notices, distributions, deferral correction or additional income documents.

5 | E-file inventory and release checklist

Form / attachment	Companion return page(s)	Why included
Form 1040	1-2	Joint federal individual return
Schedule 1	3-4	Educator adjustment
Schedule 2	5-6	Additional Medicare Tax and NIIT
Schedule 3	7	Foreign/care credits; excess Social Security
Schedule A	8	Itemized deductions exceed standard
Schedule B	9	Ordinary dividends exceed $1,500
Schedule D	10-11	Report net capital gain
Form 8949	12-13	Covered stock detail; Lisa wash adjustment
Form 2441 (Part III not applicable)	14	Care credit for twins
Schedule 8812 (Part II not applicable)	15	Three qualifying children; full CTC
Form 8995	16	Section 199A/REIT dividend deduction
Form 8867 - PENDING completion	17-18	Paid-preparer child credit due diligence
Form 8959	19	Combined Medicare wages exceed $250,000
Form 8960	20	NII and joint MAGI exceed applicable threshold

Federal W-2 data must be transmitted with the e-file return

All three W-2 employer/employee addresses, EINs and federal boxes must be entered from the original PDFs. Robert W-2 Social Security wages/tax: COMPANIX $132,465.05/$8,212.83; ZIXBO $102,468.69/$6,353.06. Lisa $118,475.30/$7,345.47. Medicare wages/tax: same as Social Security for each; Medicare tax $1,920.74/$1,485.80/$1,717.89, respectively. No state/local wage/withholding amounts are shown. Lisa code DD and unreadable box 12a are addressed above.

Before release

Confirm qualified-dividend, REIT and foreign-credit holding periods and no payment obligations to others; dependent U.S. status, SSN validity/timing and names; no competing dependent claims; no prior credit disallowance requiring Form 8862; work-related childcare; no foreign trust involvement; no blindness; 900-hour educator eligibility; no reimbursements; acquisition debt; charitable substantiation; correct local sales rate for the actual street address. The intake only states San Antonio/78253, not jurisdiction boundaries.

Complete Form 8867 and paid preparer blocks; confirm any IP PINs and third-party authorization. Obtain signed Form 8879 and any payment authorization before transmission. Form 8879 is retained by the ERO, not normally sent as a return attachment. [14] No Forms 1116, 6251 or 2210 are included on the stated assumptions; reassess if new facts arise. Forms 1099/1098 and this memorandum are retained support rather than separate return schedules.

6 | Authorities and review sign-off

Authorities below are the IRS 2024 archived forms/instructions, except the official educator guidance, official city rate page and e-file signature guidance. Linked source titles provide access to the underlying publications. All tax thresholds in this draft are for 2024; later-year changes are not applied. Client amounts derive from the supplied PDFs, not external sources.

[1] IRS 2024 Form 1040 Instructions - tax worksheet, rounding, student-loan phaseout, excess deferrals/SS tax, foreign tax credit

[2] IRS 2024 Schedule A Instructions - LTC age limits, itemization, SALT and Texas sales tables (printed page 15)

[3] City of San Antonio Finance FAQ - combined 8.25% rate; actual street jurisdiction remains unverified

[4] IRS Tax Tip 2024-66 - educator $300 deduction and eligibility

[5] IRS 2024 Schedule 8812 - child credit and joint $400,000 phaseout

[6] IRS 2024 Form 2441 - qualifying care expense and credit computation

[7] IRS 2024 Form 8995 Instructions - qualified REIT dividends, holding period and simplified method

[8] IRS 2024 Form 8959 Instructions - Additional Medicare Tax and withholding reconciliation

[9] IRS Form 8867 Instructions (November 2024) - paid-preparer due diligence and certification

[10] IRS 2024 Form 8960 - investment income, joint threshold and 3.8% computation

[11] IRS 2024 Form 6251 - AMT exemption and preferential-rate calculation

[12] IRS 2024 Form 8949 Instructions - reported basis and positive wash-sale adjustment, code W

[13] IRS 2024 Form 2210 Instructions - IRS-computed penalty, safe harbor and disaster relief

[14] IRS About Form 8879 - e-file signature authorization

Senior accountant release

Reviewer: _____ Review date: _____

W-2 / broker exceptions resolved: _____ Carryovers/payments verified: _____

Form 8867 completed / supporting records retained: _____ Software diagnostics cleared: _____

Authorization obtained / final tax and balance reconciled: _____

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